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Today's Results in the Market

1 message

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Good evening, everyone -

In order to memorialize the highlights of today's bond sale and provide you with an overview of the transaction, I wanted to provide this summary of the pricing events and final results of the refunding. Please feel free to use the summary however you would like and do not hesitate to ask us any follow-up questions or request any additional information.

On Tuesday, December 17th, Brecksville-Broadview Heights City School District (the "School District") accessed the municipal bond market to sell its $43,956,196.40 School Facilities Improvement Refunding Bonds, Series 2019 (the "Series 2019 Bonds") to refund all the callable maturities of its outstanding School Facilities Improvement Bonds, Series 2018, outstanding in the principal amount of $43,960,000. The Series 2019 Bonds would be issued to advance refund on a federally taxable basis the School District's outstanding tax-exempt Series 2018 Bonds, taking advantage of an approximate decline in interest rates since the issuance of the Series 2018 Bonds of nearly 100 (1.00%) basis points across all maturities.

On the pre-pricing call that took place the afternoon of Monday, December 16th, the financing team, which included the School District, Stifel (the municipal underwriter), Sudsina & Associates (the municipal advisor to the School District), and Squire Patton Boggs (Bond Counsel to the School District), heard from Stifel's trader on overall conditions in the bond market and pricing levels for the School District's bonds based on the pre-marketing efforts of Stifel's underwriting desk up to that point. The municipal market had favorable supply and demand dynamics for issuers, with seemingly unending healthy demand able to accommodate the high volume we have seen in the municipal market since the beginning of December. The Series 2019 Bonds were marketed with the School District's "Aa2" rating, which was recently affirmed by Moody's.

The taxable municipal market has experienced tremendous volatility since we first discussed this refunding opportunity with you late September. From Monday, December 9 to Monday, December 16, both the 10-year and the 30-year U.S Treasury (UST) increased by four basis points. Compared to yields approximately one month before pricing (November 18), the 10-year UST increased by eight basis points, while the 30-year UST remained unchanged. Final UST yields the afternoon of December 17 remained steady with only a few maturities experiencing increases of one to two basis points. Also, for frame of reference, since the School District's Series 2018 bonds priced on August 29, 2018, the 10-year UST decreased by 100 basis points, while the 30-year UST decreased by 71.

The order period opened at 9:30 am Eastern, allowing investors to place orders for the bonds until 11:00 a.m. Eastern. As the order period began, the Treasury market was unchanged from the previous day's close, with the 10-year at 1.869% and the 30 year at 2.290%. At the end of the order period, Stifel was oversubscribed (i.e., had more orders than bonds) for all maturities except the small serial maturities in 2020 and 2021 (only $5,000 each) and the large term bond maturating in 2054, which had no orders. Overall, the School District received $155.3 million in orders (3.3 times the total par value).

Following the order period, the financing team reconvened to discuss changes to the pricing and structure to reflect the results of the order period. Due to the oversubscriptions in the bonds maturing in 2022 through 2032 and in 2034, 2036, 2038, 2041, 2047, and 2049, Stifel's trading desk recommended decreasing yields of each those maturities by a range of three to seven basis points depending on the maturity. Stifel's trading desk noted that it had a buyer interested in the 2054 maturity, but would have to increase the yield on the bonds of that maturity by 12 basis points. Based on the difficulty with pricing a longer-term bond, and the yield reductions for nearly every other maturity of the bond issue, what was proposed was deemed more than reasonable.

Total institutional orders by investors ranged from $150,000 from Goldman Sachs Asset Management to $23.0 million from Spring Lake Asset Management. Participation on the institutional side included Bluefin Trading, Old Orchard Capital Management, BNK Asset Management, Millennium Partners, Franklin Funds, North Carolina Farm Bureau Insurance and Credit Suisse Asset Management, among others. Although the finance team publicized the bond sale through an advertisement in the Sun Star Courier and distributed through the School District's social media platform, the School District did not receive any orders from retail investors, most likely due to the federally taxable nature of the transaction.

Following the order period and the post-pricing call, the finance team received bids for "open market securities" to fund the Escrow Fund for the Series 2018 Bonds. The Escrow Fund would be "net funded" allowing for investment earnings to achieve a portion of the amount needed to pay principal and interest due at maturity before or upon prior redemption of the callable Series 2018 Bonds on December 1, 2023. The alternative to purchasing "open market securities" would be purchasing State and Local Government securities issued by the federal government. Based on our analysis, the "open market securities" were to the benefit of the transaction in the amount of $88,151, as compared to the State and Local Government securities. This was immediate present value savings, all net of expenses.

At the end of the day, the School District successfully sold all $43,956,196.40 of the Series 2019 Bonds at an all-in true interest cost ("All-In TIC") of **3.55%**, achieving net present value savings of **$5,775,482**, which represents **13.13%** of the refunded par amount of the Series 2018 Bonds. These debt service savings are structured to be proportional to the par refunded, achieving average savings of nearly $500,000 in each fiscal year from 2020 to 2054. The total cash-flow savings for the refunding is **$17,190,637**, resulting in part from a $3,980,294 contribution from the School District's Bond Retirement Fund into the Escrow Fund for the Series 2018 Bonds, as required by federal tax laws. This injection of equity significantly assisted in the premium production for the issue, so its benefit to the cash flow was more than a $1::$1 ratio. As a result of these cash flow savings, the School District's is able to even further enhance its 2.2 mill pledge to its voters on its voted general obligation debt after the refunding (i.e., the Series 2013A Bonds, the Series 2018 Bonds not refunded by the Series 2019 Bonds, and the Series 2019 Bonds) and maintain a positive balance in its Bond Retirement Fund through 2048 with uber-conservative growth assumptions in the School District's Assessed Valuation (half a percent through 2033 and no growth thereafter; 97% collections) and the remaining balance in the School District's Bond Retirement Fund, which is dedicated to the repayment of the School District's voted bonds. This doubled the efficacy of our original strategy as it relates to the bond retirement fund.

Overall, the Series 2019 Bonds represent a successful transaction for the School District. The financing team was able to move quickly and take advantage of very favorable market conditions and secure meaningful debt service savings for the School District. Please feel free to call or e-mail me if you have any questions or if you would like any additional information. I and the rest of the members of the finance team, including John Larson from Squire Patton Boggs and Austin McGuan from Stifel, look forward to finishing the documentation over the course of the next two weeks and closing the Series 2019 Bonds transaction on December 31, 2019.

Thank you for the opportunity to once again serve the School District. We look forward to discussing this transaction with you at tomorrow evening's Board meeting.

Rock n roll.

Michael Prcela

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